Table 18.4 Trading Tactics

Trading Tactic	Explanation
Bear market	69% of cloudbanks see the ultimate low in bear markets.
Measure the drop	Large drops (80% or more) may signal an especially weak situation, where price may not recover to the cloudbank for an unusually long time (if ever).
Lowest low	Use a 4-month simple moving average to time the entry. Buy at the open the month following price closing above the moving average. You can also look on the daily scale for an ugly double bottom (two bottoms with the second bottom well above the first).
Crossover	Once price closes above the moving average, check how far it is below the base of the cloudbank. If it's less than 40%, the stock may continue down. Large declines (like 66%) mean more profit potential, and it supports the belief that the bottom is close by.
Hold time	Hold onto the stock until it reaches the cloudbank (unless fundamentals worsen or events suggest a continued drop).
Sell at cloud base	Once price reaches the cloudbank, the easy profit will be over. It may take a long time for price to rise above the cloudbank, so consider looking for another cloudbank setup instead of waiting for price to continue moving higher.

Lowest low. If price drops in a straight-line run down (that is, price drops month after month, with little or no pause or retrace), a 4- or 5-month simple moving average may work well as an entry signal. Wait for price to close above the moving average and buy at the open the next month.

Another method is to use a confirmed ugly double bottom chart pattern as a buy signal. Think of a double bottom except the second bottom is higher than the first (by more than 5%, but be flexible). When price closes above the top of the pattern, buy. Set a stop below the price of the first bottom (if you can tolerate such a loss).